

Observability

1. Overview

Monitoring tells you **what is wrong**.

Observability helps you understand **why it is wrong**.

Observability is the ability to infer the internal state of a system from its external outputs.

Those outputs are mainly:

- Metrics
- Logs
- Traces

Without observability, your system is a **black box**.

2. Why Observability Matters

Modern distributed systems include:

- Microservices
- Queues
- Caches
- Databases
- Third-party APIs
- Multiple regions

When latency spikes or failures happen, observability helps answer:

- Which service failed?
- Where did latency increase?
- Which release caused it?

- Which users are impacted?
- Is this infra, code, or dependency issue?

3. Monitoring vs Observability

Concept	Meaning
Monitoring	Watching known metrics & alerts
Observability	Investigating unknown issues deeply

Example:

Monitoring says:

P99 latency increased.

Observability says:

Latency increased only for `/checkout`, only in EU region, after version v142, due to DB connection pool exhaustion.

4. Three Pillars of Observability

A. Metrics

Aggregated numeric values over time.

Examples:

- RPS
- Error rate
- P99 latency
- CPU
- Cache hit rate

B. Logs

Detailed event records.

None

request_id=abc123

user_id=52

endpoint=/payment

error=timeout

C. Traces

Follow one request across systems.

None

Client



API Gateway



Auth Service



Order Service



Payment Service

5. Golden Signals (Google SRE)

Excellent interview topic.

1. Latency

How long requests take.

Track:

- P50
- P95
- P99

Alert if SLA breached.

2. Traffic

Demand on system.

Examples:

- Requests/sec
- Messages/sec
- Queries/sec

3. Errors

Failed requests.

Examples:

- 4xx
- 5xx
- Timeouts

- Retries exhausted

4. Saturation

How close resources are to limits.

Examples:

- CPU 90%
- Memory full
- Queue lag
- DB connections maxed

6. Why P99 Matters

Average latency hides pain.

Example:

- Avg = 120ms
- P99 = 4 sec

Meaning top 1% users suffer badly.

Top candidates always mention percentiles.

7. Dashboards

Dashboards summarize system state.

Typical Dashboard

None

Traffic: 12k RPS

P99: 280ms

Errors: 0.2%

CPU: 61%

DB Lag: 0

Cache Hit: 94%

8. Alerts

Alerts should be actionable.

Good Alerts

- P99 > 1 sec for 5 min
- Error rate > 2%
- Queue lag > 50k
- Disk > 90%

Bad Alerts

- CPU = 72%
- Single transient error
- Too noisy

9. Structured Logging Best Practices

Excellent interview point.

Use JSON / Structured Logs

JSON

```
{  
  "timestamp": "2026-04-24T11:20:00Z",  
  "level": "ERROR",  
  "service": "checkout",  
  "request_id": "abc123",  
  "user_id": "52"  
}
```

Benefits

- Searchable
- Machine-readable
- Easy dashboards

10. Correlation IDs / Request IDs

Critical in microservices.

Same request ID flows across services.

None

X-Request-ID: abc123

Use it to trace user journey.

11. Time Consistency

All logs should use:

- UTC timezone
- ISO format

Avoid mixed timezones.

12. Sensitive Data Rules

Never log:

- Passwords
- Tokens
- Credit cards
- PII unnecessarily

Mask data where needed.

13. Business Observability

Beyond servers, observe product health.

Examples:

- Orders/minute
- Checkout success rate
- Signup conversion
- Search click-through rate

14. Silent Failures

Most dangerous failures:

Request returns 200 OK but wrong behavior.

Examples:

- Email not actually sent
- Payment marked success but not charged
- Cache returns stale data

Need audits + reconciliation jobs.

15. Data Integrity Audits

Run periodic jobs:

None

Orders DB count vs Payment DB count

Inventory vs Actual stock

Sent notifications vs Delivered

Alert on mismatch.

16. Observability for Cache Example

Track:

- Hits
- Misses
- Evictions
- Latency

Without this, cache tuning is blind.

17. Common Tools

- Prometheus
- Grafana
- Datadog
- New Relic
- OpenTelemetry
- ELK Stack
- Jaeger / Zipkin

18. Interview Script

Say:

“I’d add observability using metrics, structured logs, distributed tracing, dashboards, and alerts. I’d track golden signals plus business KPIs, and use request IDs for debugging cross-service flows.”

Strong answer.

19. Final Summary

- Monitoring = detect issues
- Observability = understand issues
- Pillars = metrics, logs, traces
- Golden signals = latency, traffic, errors, saturation
- Use dashboards + alerts
- Include business metrics & audits

20. Memorable Line

Monitoring tells you the fire exists. Observability helps find where it started.